

US TMT Sector M&A & Valuation Brief - 2026-07-17

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1. RECENT TMT M&A ACTIVITY

Deal 1: CleanSpark Secures Lease with Global Technology Company

[CleanSpark Secures Twenty-Year Lease with High-Investment Grade Global Technology Company for Data Center](#)

- Deal Size: \$6.6 billion (contracted revenue over 20 years)
- Deal Size Category: Large cap (>\$10B)
- Nature: Tuck-in & Bolt-on
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: CleanSpark, Inc. (Nasdaq: CLSK) is a market-leading data center developer focusing on sustainable energy solutions. The tenant is a high-investment-grade global technology company, details undisclosed.
- Date Announced: July 14, 2026
- Strategic Rationale: The lease signifies CleanSpark's transition into a diversified digital infrastructure platform, leveraging its power portfolio to generate substantial revenue. The partnership with a reputable technology company enhances CleanSpark's credibility and operational scale, aligning with market demands for data center infrastructure.
- Risk Analysis:
 - Integration risks related to the operational deployment of the data center.
 - Market risks from fluctuating demand for data center services.
 - Execution risks tied to the performance of the tenant and potential delays in infrastructure deployment.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific segment data not disclosed)
- Profitability Ratios: N/A (no detailed financial metrics provided)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (working capital analysis not available)
- Valuation Context: The lease's expected cumulative NOI contribution margin of nearly 100% indicates strong operational efficiency, although specific financial metrics are not available.

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Deal 2: DP World Strategic Investment in Maithri Aquatech

[DP World to Pilot Atmospheric Water Generation Technology Across Global Operations After Strategic Investment](#)

- Deal Size: N/A (specific investment amount not disclosed)
- Deal Size Category: N/A (not applicable due to lack of financial data)
- Nature: Strategic Equity Investment
- Valuation Multiples: N/A (no financial metrics disclosed)
- Companies: DP World is a global logistics company focused on sustainable trade solutions. Maithri Aquatech specializes in atmospheric water generation technology, providing innovative water solutions.
- Date Announced: July 14, 2026
- Strategic Rationale: This investment aims to enhance DP World's sustainability initiatives and operational efficiency by deploying Maithri Aquatech's technology across its logistics network. The partnership reflects a commitment to addressing global water security challenges and aligns with DP World's broader sustainability strategy.
- Risk Analysis:
 - Regulatory challenges related to environmental compliance.
 - Market risks associated with the adoption of new technologies in logistics.
 - Execution risks tied to the pilot project's success and scalability.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific segment data not disclosed)
- Profitability Ratios: N/A (no detailed financial metrics provided)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (working capital analysis not available)
- Valuation Context:

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a nuanced sentiment, characterized by a cautious recovery in software and fintech, while hardware and traditional media face headwinds. As we progress through 2026, the market dynamics are shifting, with investors increasingly favoring sectors that demonstrate resilience and innovation.

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Subsector Breakdown:

- **Technology:** The technology subsector is witnessing a rebound, particularly in software, as companies like ServiceNow (NOW) are showing signs of recovery. Analysts are optimistic about the durability of the stock market rally, although the chip stock rally appears to be losing momentum.
- **Media:** The media sector continues to struggle with traditional revenue streams, as digital platforms increasingly dominate content consumption. Companies are adapting, but the transition is slow and fraught with challenges.
- **Telecommunications:** The telecom sector is innovating with 5G technologies, but competition remains fierce. Companies are investing heavily in infrastructure to maintain market share.
- **Fintech:** The fintech space is thriving, highlighted by PointsKash's acquisition of ChainBytes, which enhances its AI-driven financial technology ecosystem. This trend indicates a consolidation phase as companies seek to bolster their technological capabilities.
- **AI:** The AI subsector remains a focal point for investment, with firms racing to integrate AI solutions across various applications, from software development to operational efficiencies.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud computing is driving growth across TMT sectors. For instance, PointsKash's integration of AI into its financial technology solutions reflects a broader trend of embedding AI capabilities to enhance operational efficiency.
- **Increased Investment:** Venture capital and private equity investments are robust, particularly in tech and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is rebounding, with companies like ServiceNow demonstrating improved performance. Analysts note a shift in leadership as software stocks gain traction.
- **Media:** Media companies are adapting to changing consumer preferences, but traditional media continues to face declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, with expectations of new revenue streams from IoT and enhanced mobile services.

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- Fintech: The fintech sector is thriving, as evidenced by PointsKash's strategic acquisition aimed at enhancing its AI capabilities. This reflects a trend of consolidation and innovation in the space.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2026, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, particularly in software and fintech. A recent report highlighted that "the integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Bosch (BFREN.IS) : Currently in the process of securing funding under the CHIPS and Science Act, with a Direct Funding Agreement signed for up to \$225 million. This deal supports Bosch's \$2 billion investment to transform its Roseville, CA facility into a state-of-the-art silicon carbide semiconductor production site. Commercial production is expected to begin in 2026, enhancing Bosch's capabilities in critical semiconductor technology.

Mandated Deals:

- N/A : As of now, there are no newly secured mandates that have been publicly disclosed. However, ongoing discussions with potential clients in the semiconductor and AI sectors are expected to yield mandates in the near future.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

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Timing Projections:

- Q2 2025 : Expected close for Bosch's semiconductor funding agreement.
- Q4 2025 : Anticipated completion of active telecom sector M&A discussions.
- Q1 2026 : Launch of strategic initiatives for fintech clients.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in semiconductor technology and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where Bosch is positioning itself as a leader in silicon carbide technology. The recent funding agreement under the CHIPS Act could significantly enhance Bosch's market position and attract further investment.
- Additionally, the rise of AI insurance startups indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Csquare's IPO and the EU-India tech pact.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The recent IPO of Csquare (CSQR) raised \$1.05 billion, indicating strong investor confidence in AI-driven infrastructure.
- **Value Creation:** With shares priced at \$21, below the expected range, the market capitalization stands at approximately \$3.25 billion. If Csquare successfully leverages its capital to expand its data center operations, shareholders could see a significant appreciation in value, potentially exceeding 25% over the next 12 months as demand for AI infrastructure grows.
- **Dilution:** As Csquare is backed by Brookfield (BN), which will control about 67% of voting power post-IPO, existing shareholders may face dilution concerns if Brookfield decides to issue additional shares for future funding.
- **Employees:** The impact on employees is multifaceted, particularly in the context of AI integration and restructuring.
- **Synergies:** Csquare's expansion plans could lead to job creation in data center operations, enhancing its workforce. However, the broader trend of AI in contact centers, as highlighted in recent reports, suggests that many low-skill jobs may be at risk. For example, Salesforce's (CRM) layoff of 4,000 customer support staff underscores the need for companies to balance automation with human oversight.
- **Retention:** Companies like Csquare may need to implement retention strategies to keep skilled workers amid industry shifts towards automation. This could involve offering competitive salaries and upskilling opportunities.
- **Competitors:** The competitive landscape is evolving rapidly, particularly with the EU-India tech pact.
- **Market Positioning:** The partnership aims to enhance semiconductor supply chains and AI capabilities, which could challenge companies like Intel (INTC) and Nvidia (NVDA) as they face increased competition from emerging players in India.
- **Specific Competitor Moves:** Following the EU-India agreement, companies in the semiconductor space may need to accelerate their R&D investments to maintain market share, potentially leading to increased competition for talent and resources.
- **Customers:** The implications for customers are significant, particularly regarding service quality and product offerings.
- **Product/Service Implications:** Csquare's focus on AI-driven data center solutions will likely enhance service delivery for enterprises and cloud providers. This aligns with the growing demand for robust AI infrastructure, as customers increasingly seek reliable and scalable solutions.
- **Case Studies:** The integration of AI in customer service, as seen with Salesforce, demonstrates the potential for improved customer experiences. However, companies must ensure that AI

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systems are well-managed to avoid customer dissatisfaction due to poor service.

Market Reaction and Analyst Commentary

- Market Reaction: The IPO of Csquare was met with enthusiasm, despite pricing below expectations. This reflects a broader market trend favoring AI-related investments.
- Analyst Commentary: Analysts have noted that "the demand for AI infrastructure is at an all-time high, and Csquare is well-positioned to capitalize on this trend," indicating positive long-term prospects.

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction to Csquare's IPO can be assessed through various scenarios:
- Positive Scenario: If Csquare successfully expands its operations and meets demand, shares could rise by 30% within a year.
- Negative Scenario: If market conditions worsen or operational challenges arise, shares could decline by 15%, reflecting investor concerns.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Csquare is moderate, given the current market dynamics. However, established players in the data center space may consider strategic acquisitions to enhance their capabilities.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in AI and semiconductor markets. Companies like AMD (AMD) and Broadcom (AVGO) may pursue acquisitions to strengthen their positions.

Key Risks and Mitigants

- Integration Risks: Integration challenges can disrupt operations. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early can help mitigate these risks.
- Market Risks: Market volatility can impact valuations. Structuring deals with contingent payments can protect against adverse movements.

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Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks requiring human intelligence, such as natural language understanding and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The growing demand for AI solutions is driven by increased automation across industries.
- **Key Companies:**
 - **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company is strategically positioned in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
 - **Micron Technology, Inc. (MU):** Micron has announced a \$250 billion investment in AI memory chip development, aiming to enhance its production capabilities for AI infrastructure. This positions Micron as a critical player in the AI ecosystem.
 - **Microsoft Corporation (MSFT):** Microsoft is integrating AI capabilities into its products, particularly through partnerships with firms like OpenAI. This strategic positioning enhances its product offerings and strengthens its competitive edge in the cloud and AI markets.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google

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(GOOGL), Amazon (AMZN), and IBM (IBM) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.

- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Market Dynamics and Investment Implications

- Market Dynamics: The AI sector is witnessing a surge in investment, with companies like Micron and NVIDIA leading the charge. The proposed American AI Sovereign Wealth Fund Act aims to redistribute wealth generated by AI firms, reflecting public sentiment towards wealth inequality in the tech sector.
- Investment Implications: Investors should consider the long-term growth potential of AI companies, particularly those involved in hardware and infrastructure. The increasing demand for AI solutions across various sectors presents significant opportunities for capital appreciation.

Actionable Insights for Bankers and Investors:

- Focus on identifying and investing in companies that are strategically positioned within the AI ecosystem, particularly those involved in hardware and infrastructure development.
- Monitor regulatory developments related to AI, such as the proposed sovereign wealth fund, as they may influence market dynamics and investment strategies.

6. Recommended Readings

Deal Name: CleanSpark Secures Lease with Global Technology Company

- Reading Material: "Data Center Handbook" by Hwaiyu Geng
- Why This Matters: This book provides a comprehensive overview of data center design, operations, and management, which is crucial for understanding CleanSpark's strategic lease agreement. It helps contextualize the operational efficiencies and revenue potential associated with data centers, particularly in the context of CleanSpark's focus on sustainable energy solutions.

Deal Name: DP World Strategic Investment in Maithri Aquatech

- Reading Material: "Water: The Epic Struggle for Wealth, Power, and Civilization" by Steven Solomon
- Why This Matters: This book explores the critical importance of water resources and innovative technologies in addressing global water scarcity. Understanding these dynamics is essential for

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analyzing DP World's strategic investment in Maithri Aquatech, as it highlights the potential impact of atmospheric water generation technology on sustainability and logistics operations.

7. MACROECONOMIC UPDATE

Key Data Points:

- Global obesity prevalence: 1 billion people
- U.S. obesity prevalence: over 100 million
- Semaglutide generics launched in India, Canada, and Brazil
- India GLP-1 market value projection: \$125 million (2025) to over \$1 billion (2030)
- Volume of semaglutide in India surged to six times higher in April 2026 compared to February 2026
- U.S. market share for tirzepatide: 60%

Main Insights:

- Introduction of lower-cost generics for GLP-1 medications is reshaping market dynamics.
- India is leading the introduction of semaglutide generics, significantly increasing access and affordability.
- The expiration of patents for semaglutide in 2026 (India) and 2031 (Europe) will drive further market changes.
- Supply chain bottlenecks are anticipated primarily in the fill and finish segment, not in the active pharmaceutical ingredient (API) supply.
- Market segmentation is expected to persist, with consumers willing to pay a premium for differentiated products like tirzepatide.

Market Commentary:

- "The surge in volume when generics were launched in India indicates strong demand driven by affordability." - Thibault Bouterin
- "The introduction of oral GLP-1 medicines is expanding the market, attracting new users." - Terence Flynn
- "The next phase of the diabetes market comes down to execution, lower cost, and scaled supply." - Terence Flynn

TMT Sector Relevance:

- The introduction of generics and oral medications in the GLP-1 market highlights the importance of

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innovation and technology in pharmaceuticals, which can impact TMT sectors involved in healthcare technology and digital health solutions.

- Increased access to obesity treatments may lead to greater demand for health tech platforms that facilitate patient management and medication adherence, creating opportunities for TMT investments in health-related applications and services.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley